

Digital Realty Trust

NYSE: DLR · Data Center REIT · \$69.6bn market capitalisation

Rating Buy	Price, 17 Sep 26 \$184.26	Target price \$213.00	Total return 18.3%
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THE BUSINESS

What Digital Realty owns

DLR builds and leases data centers. Customers pay for space, power and the network connections between them. Leases run for years, so revenue is contracted rather than transactional.

Data centers	Power in service	Buildable capacity	Metros	Countries
310	3 GW	9 GW	55+	30+
FY25 revenue	FY25 Core FFO / share	Net debt / EBITDA	Dividend yield	Occupancy
\$6.1bn	\$7.43	4.8x	2.65%	92.5%

Roughly half of rent comes from twenty customers, led by hyperscalers taking capacity above 1 MW. The balance is smaller enterprise deployments that pay a premium for connectivity.

RECOMMENDATION

Buy DLR, target \$213

Current price	Target price	Price upside	Dividend yield	Total return
\$184.26	\$213.00	+15.6%	2.65%	+18.3%

- 1 **Power, not demand, is the scarce input.** DLR has 1,402 MW under construction and over 7 GW of further land and shell with grid access behind it.
- 2 **Rents on existing leases are resetting higher.** Renewals repriced 25.6% higher in Q2 and full year guidance was lifted to 9% to 11%.
- 3 **Guidance rose at both reports this year, yet the stock sits below its April level.** The multiple compressed from 23.7x to 22.5x on rising estimates.

RISK AND REWARD	Bear \$163, -12%	Base \$221, +20%	Bull \$263, +43%	3.6x reward to risk
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PILLAR ONE

Power is the bottleneck, not demand

Everyone can see AI demand. Very few operators can deliver capacity, because that needs land, a grid connection and years of permitting. DLR spent the last decade acquiring all three.

Under construction

1,402 MW

Growth in six months

+82%

Yield on cost

11.5%

Additional land and shell

7 GW

EVIDENCE THEY CAN EXECUTE, NOT JUST HOLD LAND

Market	Capacity	Status
Charlotte	200 MW	Announced to fully leased in under 18 months; second building now underway
Kansas City	2 GW	1,440 acres acquired; 600 MW of utility load provisioned by 2028
Atlanta	1 GW	873 acres acquired; first phase of 192 MW delivering 1Q29
Northern Virginia	422 MW	Largest single market under construction, 56% pre-leased, delivering 3Q27

PILLAR TWO

Existing leases are repricing to market

Data center leases signed years ago are expiring into a far tighter market. Nothing has to be built for this to show up in revenue.

2Q26 renewals	Expiring rent	Renewed rent	Cash spread
Hyperscale, above 1 MW	\$159 / kW	\$265 / kW	+66.7%
Colocation, below 1 MW	\$331 / kW	\$348 / kW	+5.2%
Blended	\$244 / kW	\$306 / kW	+25.6%

Guidance was raised, not just the quarter

Full year renewal spread guidance went from 6.5% to 8.5%, up to 9.0% to 11.0%. One quarter can be mix. Raising the full year guide is a statement about the book.

The book reprices quickly

Average remaining lease term is about four years, so roughly a quarter of the rent roll comes up each year. Churn is low at 1.1% a quarter.

PILLAR THREE

Earning on the same land twice

DLR keeps a minority stake in large developments and raises the rest from institutional partners. It collects rent on what it owns and fees on what it manages.

2026 transaction	Consideration	Rationale
Blackstone JV buy-in	\$3.5bn	Full ownership of three leased Northern Virginia data centers, 288 MW
Teraco step-up	3.4m shares	Stake in the largest African platform raised from 61% to 77%
Columbia Capital	\$485m	Adds an investment manager with \$9bn of committed institutional capital
Kansas City land	\$475m	1,440 acres with utility commitment. 2 GW at full build
Fee income as a share of revenue 0.9% 1.3% 2.4% FY23 FY24 FY25 Tripled in dollar terms over two years, to \$144m \$10bn of third party capital already committed and available to deploy		

EARNINGS VISIBILITY

Next year's growth is already contracted

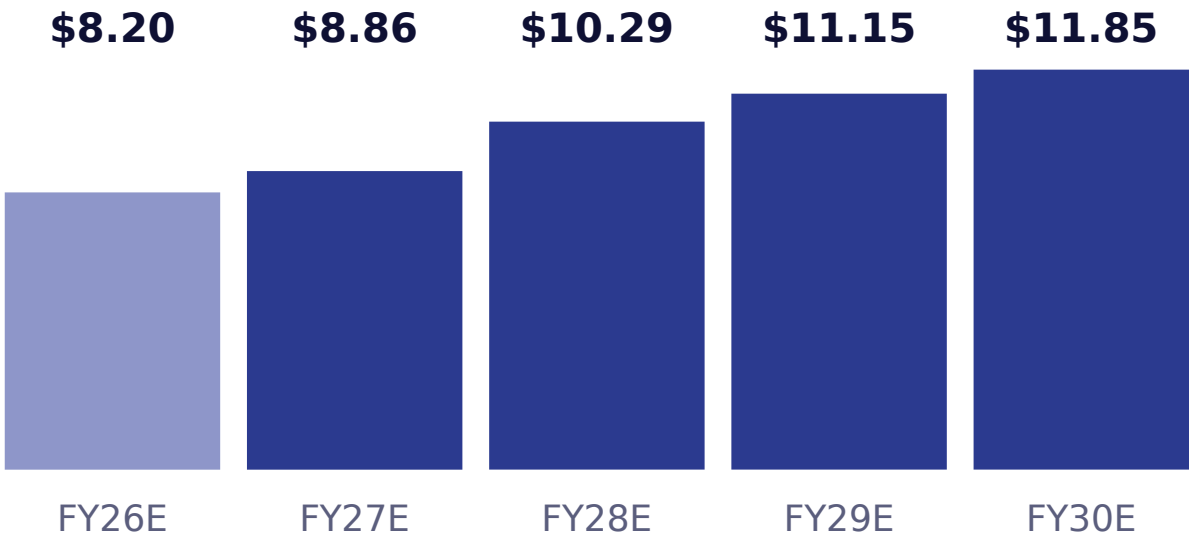
\$1.4bn

of leases signed but not yet commenced, at DLR's share, equal to about 20% of annualised rental and recovery revenue. Including partners' share the figure is \$1.9bn.

SCHEDULED COMMENCEMENT, DLR SHARE

Period	Annualised rent
Remainder of 2026	\$635m
2027	\$480m
2028 and beyond	\$312m

CORE FFO PER SHARE, AUTHOR ESTIMATES



FY26 company guidance \$8.15 to \$8.20. Excludes promote income.

VALUATION

What the business is worth

Four methods, weighted. Net asset value carries the most weight because this is a property balance sheet.

Net asset value, 40% weight

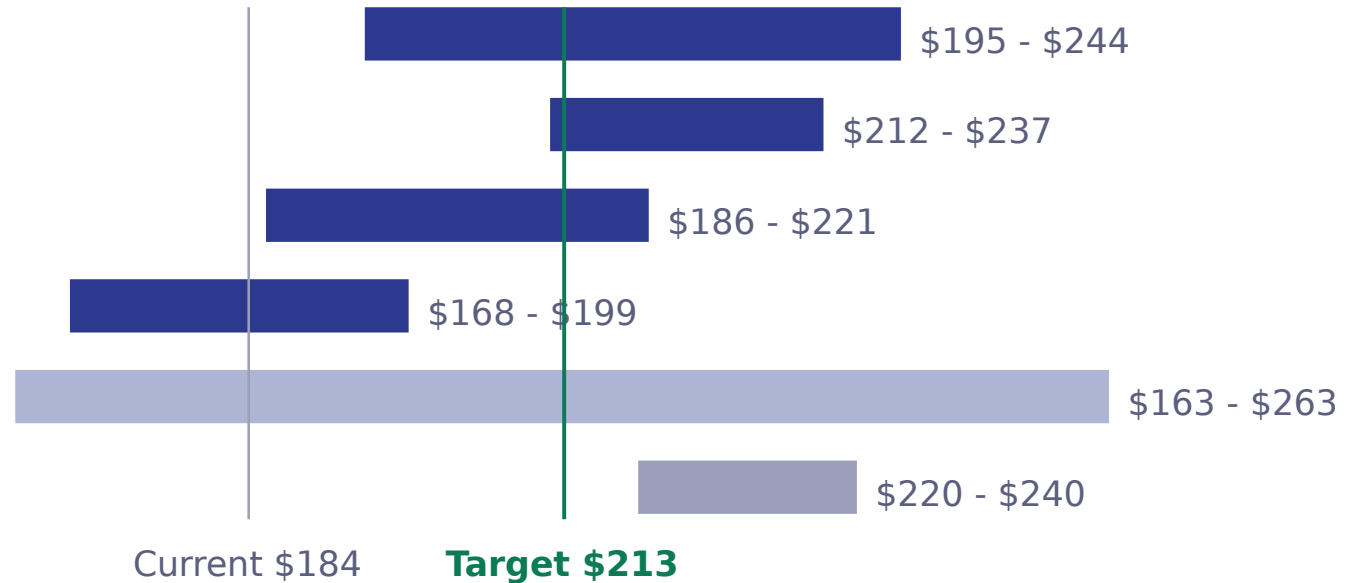
Discounted cash flow, 30%

Multiple of 2027 Core FFO, 20%

Multiple of 2027 AFFO, 10%

Bear to bull scenarios

Sell side consensus range



NET ASSET VALUE

Where the value comes from

DLR builds at an 11.5% yield on cost. A stabilised data center trades at roughly a 5.5% cap rate. That 600 basis point spread is what turns construction spending into net asset value.

Net asset value build	\$mm	Per share
Operating buildings: \$4,282m cash NOI at a 5.5% cap rate	77,861	206.71
Value created on the 1,402 MW under construction, over full cost	11,971	31.78
Land and power bank, 7,110 MW at \$500k per MW	3,555	9.44
Private capital platform: \$190m of fees at 15x	2,853	7.57
Cash, receivables, land and construction at book cost	12,532	33.27
Gross asset value	108,772	288.77
Less: debt, preferred and other liabilities	(26,771)	(71.07)
Net asset value	82,001	217.70

RISKS

What could go wrong

Risk	Assessment
Equity issuance	Share count grows 8.5% by 2030. Core FFO per share still compounds from \$8.20 to \$11.85, and leverage peaks at 5.0x before falling to 4.0x.
Valuation versus Equinix	DLR trades at 24.1x 2027 AFFO against Equinix at 21.4x, a 13% premium, with 4.8x leverage against 3.5x. Faster revenue growth and a higher margin offset it, but this is the weakest point in the case.
Speculative development	Pipeline is 54% pre-leased. Over half the unleased capacity is Atlanta, 192 MW delivering 2029, and EMEA, 183 MW at 12% leased. The Americas excluding Atlanta are 75% pre-leased.
Customer concentration	Top three customers are 26% of recurring revenue, up from 23% a year earlier. Offsetting this, those leases run 9 to 10 years and churn above 1 MW is 0.4% a quarter.
Community and regulatory	Local opposition and state level scrutiny of data center power use and tax incentives are
CONDITIONS THAT WOULD CHANGE THE VIEW Development yields falling below 9%, pre-leasing on new starts below 40%, or credit deterioration at a top three tenant.	

CATALYSTS

What to watch

Timing	Event and why it matters
Late October 2026	Third quarter results. A further guidance raise would extend a pattern the market has not paid for.
Each quarter	Renewal spreads holding above 20% keeps the pricing power argument intact.
Any time	First leases signed at Kansas City or Atlanta convert land into contracted rent.
February 2027	2027 guidance. A third consecutive double digit year should support the multiple.

Buy DLR at \$184.26. Target \$213.

The twelve month case is an 18% total return. The stronger case is duration: holding to 2029 earns roughly 13% a year on earnings growth and dividends alone, with no change in the multiple.